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This commentary provides insights about how America’s AI dominance is protected by actualizing its leadership role at the global level as a competitor, partner, and standard setter to enable AI development that promotes human flourishing and openness. A proactive U.S. strategy must aim to build up the normative, legal, and capacity building structure that will provide a substantive alternative to the techno-authoritarian interests seeking to fill these voids. By promoting inclusive AI governance, the U.S. can help ensure that local concerns and needs shape how AI technologies are developed and deployed in different contexts. Community empowerment and grassroots initiatives can provide a buffer against the institutionalization of top-down, centralized interests that prioritize censorship, control, and the deterrence of opposition. Countering techno-authoritarian AI adoption requires a style of economic competition that understands cost-pricing choices for AI products and infrastructure are just as important as international cooperation at the company, state, and individual levels to build a shared consensus about the boundaries of unacceptable technology end-use. Boundaries must be set about the red lines of AI, but placing parameters does not have to hamper innovation, if done correctly. The goal is to guide power competition in a way that will prioritize national security, while also avoiding the complete balkanization of AI development and adoption.

The main policy actions provided are derived from the concepts of tech-diplomacy, innovation statecraft, counter-techno-authoritarianism, and contextual international collaboration. The key points are that: (1) engagement with countries in the Global South should help empower governance decision making and capacity building for AI development in a collaborative and multi-stakeholder manner, (2) the widespread adoption of U.S. based foundational models used for fine-tuning and commercial product development requires compute power support and data collection/processing that captures cultural nuances and languages in order to create AI tools that are adequately addressing unique challenges and problems facing different societies, (3) differentiating the AI-ecosystem offerings from competitors is about building long-term interaction through personal, business, and educational relationships (4) and that informal and formal venues for interaction and

information exchange should be institutionalized through mission driven networks, partnerships, and collaborative efforts that value human centered AI development.

Based on these points, it is recommended that the following five policy recommendations should be considered in the AI Action Plan:

- **The U.S. must re-engage its Transatlantic allies and form a Western bloc for AI techno-diplomacy to counter techno-authoritarian normative and legal influence.**
- **Innovation statecraft must be more AI oriented; Enhance the current science and technology capacity building programs at The State Department to ensure that AI receives special attention/funding in these critical soft power strategies.**
- **The widespread adoption of U.S. AI open-source foundational models is tied to the type of licensing permitted for commercial use; stay abreast in monitoring any licensing changes by competitors, rather than narrowly focusing on performance benchmarks.**
- **Carefully categorize techno-authoritarianism and techno-authoritarian technology, to consider appropriate engagement strategies with actors based on and understanding about the underlying economic versus value-based motives.**
- **The creation of a Human-Centered AI Institute (HCAII) is a way to structure research, evaluation, and monitoring about the relationship between AI and human-decision making to better understand the conditions in which AI encroachment on human autonomy could be undesirable or negative and to identify solutions that protect both innovation and human flourishing.**

1. POLICY ACTIONS: *AI Governance, International Collaboration*

The U.S. must partner with its Transatlantic allies and form a Western bloc for AI techno-diplomacy to counter techno-authoritarian normative and legal influence. Partners bring different competitive advantages and influential capabilities to the table, which when combined, provides a substantial buffer against Sino-AI influence in the global AI governance arena.

The extent of Chinese influence on legal systems and the normative interpretations of AI development is complex and difficult to measure. However, the CCP is clearly active in its global positioning as a [standard setter](#) with its “China Standards 2025” framework for emerging technologies, as well as the promotion of its own set of interests for AI governance through concepts like AI sovereignty and related [digital/cyber sovereignty](#) across countries in the Global South as an “[organizing principle](#) of internet governance that envisions a world of national internets,” in contrast to “U.S. support for a global, open secure internet.” [For example](#), in Thailand, the autocratic government “is passing cybersecurity laws that resemble Chinese regulations” and in [Nigeria’s digital information stack](#), China has leverage of the network infrastructure layer, the device, application, content, and governance layers that incorporates China’s influence to use state-led control over the internet and citizen’s data. Moreover, legal and regulatory constraints are a [prominent barrier for cloud adoption](#) in Africa such as data residency and data protection laws in Algeria, Gabon, Niger, and Morocco that “require regulated data (such as personal information) to be localized within a country’s borders,” making public cloud use for data sets extremely difficult.

Therefore, while AI and data regulation is not a priority for domestic U.S. AI policy, it may be a strategic priority in terms of international AI leadership as it can serve to counter the adoption of legislation and norms that serve Sino interests in the Global South. Since the EU has experience in data privacy and AI regulation and has seen some [similar structural adoptions](#) of the AI Act, like a risk based approach in countries such as South Korea and [Brazil](#), this EU competitive advantage in AI regulation could be modified to promote a broader framework and opportunity to collaborate on a country-by-country basis to develop legal interpretations that favor open internet and AI

technology that deter control/censorship objectives, for instance. Countries like France are producing celebrated AI startups like Mistral and Hugging Face, exemplifying that the EU is not completely detached from the AI-eco system and has plenty potential to contribute to a like-minded bloc to guide AI governance that is more open and non-threatening to democratic values. The idea is to create an identifiable, democratic-friendly alternative that can be used as a reference, while also enabling individual countries to set their own normative interpretations and decision-making on AI governance. More unity is needed between like-minded allies to emphasize the importance of collaborative, bottom-up governance that is guided by numerous actors from civil society, government, business, and academia.

Innovation statecraft must be more AI oriented; Enhance the current science and technology capacity building programs at The State Department to ensure that AI receives special attention/funding in these critical soft power strategies.

The U.S. should convene innovative statecraft tools for capacity building in the Global South that can complement the data collection efforts and grassroots initiatives at local levels which are aimed at capturing contextual distinctions to produce relevant AI tools, solutions, and responses. This requires ensuring that political will and stakeholder support is in place promote such collaborative, industry partnerships for capacity building. Decentralized, [grassroots-based initiatives for data collection](#) are forming across the Global South using mobilized networks of volunteers, in some cases, like in Argentina where the benefits of these collaborative mapping solutions are about producing people-centered, needs based solutions to addresses data collection limitations in a short time period. Yet, the data dimension is only one aspect of widespread AI adoption.

Currently, compute power, as part of a wider effort for capacity building, is lacking in the Global South. Improving the compute access dimension would help AI developers create products and tools that are tailored to community needs, ultimately contributing to trust building towards AI. Compute power as an aspect capacity building can be implemented through financial assistance in terms of cloud services that could [improve digital access](#) in terms of storage, processing, and data analysis by avoiding the hardware constraints. Amazon Web Services (AWS) through its [AWS Activate program](#) has offered over 2,600 companies in South Africa around R340 million in AWS

Promotional Credits from 2018-2022 for example and worldwide is offering startups no cost access to training resources, business support, and promotional credits.

AI capacity building also involves dimensions beyond compute power like improving energy demands and infrastructure, labor and skills development, and basic AI literacy and education. There are numerous opportunities to help build up capabilities. Therefore, capacity building should remain a priority for U.S. leadership because one important shift taking place is that China’s stance on state-led digital governance is changing. The CCP was once opposed bottom-up, multistakeholder approaches (which are more associated with Western approaches), but now seems to be adopting some aspects of this by embracing “cooperative Chinese AI industries and industrial alliances” for capacity building in the Global South, as conveyed in the CCPs recent AI Capacity-Building Action Plan for Good and for All. As Figure 1 conveys below, most capacity building proposals by the CCP seem to be state-led in nature but will leverage more industry alliances through community engagement that fosters best practices and norms, even in the open-source community. This exemplifies the classic dilemma that if a more coordinated approach from the U.S. is not implemented, then China will continue to attempt to fill these voids and shape global dynamics to serve its own interests. Plus, U.S. industry can benefit as well using innovation statecraft through this type of positive reputation building and benevolent actions that genuinely empower local stakeholders—a win-win scenario.

Figure 1: AI Capacity Building Approaches

AI Capacity Building Elements (for the Global South)	China’s Approach (via MFA doc)	Considerations for the U.S. Approach to Capacity Building
<i>AI development: local reality</i>	China has plans to help GS develop AI language and data resources that are locally oriented	The U.S. must provide genuine local empowerment initiatives for AI development through strategic multi-stakeholder collaboration and differentiate its approaches from CCP calls for AI sovereignty.
<i>Professional skills: exchanges, training, best practices</i>	China plans to provide GS with educational resources, joint education and exchange programs	The U.S. must cultivate an understanding of the professional AI communities in GS to customize collaborative skills development opportunities; on-site learning and exchanges encourage socialization

<i>AI literacy</i>	China plans to focus on increasing AI literacy in GS public	The U.S. must prioritize AI literacy and public education in GS, especially through civic/multi-stakeholder initiatives-good opportunity for grassroots; native languages and local context critical for understanding unique concerns and challenges.
<i>Global data sharing platform</i>	China proposes that data sharing should occur on centralized data sharing platform, potentially under guise of data privacy and security	The U.S. must investigate different forms of data sharing data/flows to strengthen a more decentralized approach to data sharing.
<i>Joint AI development: build laboratories and infrastructure; R&D cooperation-AI models</i>	China proposes assisting GS in development of AI laboratories and infrastructure; collaborate on R&D of AI models	The U.S. must be proactive in both university collaboration in GS for AI and to partner w/ and develop AI labs to promote open tech values/culture, credits and API access for foundational models use and tool development.
<i>Chinese AI industry/ alliance engagement</i>	China plans to use Chinese industry alliances to promote best practices, open-source, AI communities, create multilevel cooperation system	The U.S. must offer a more attractive combo of tech partners, culture, and products; it is still uncertain how much freedom Chinese industry will in such engagement.
AI workshops	The CCP government plans to convene AI workshops that focus on human resource cooperation	Inter-personal interaction is a key in trust-building; rather than state-led, the U.S. should partner with informal/formal responsible networks to provide an alternative guide to responsible implementation of AI in the workplace

*Please note the source for the Chinese capacity building elements and approach comes from the CCP Ministry of Foreign Affairs document: https://www.mfa.gov.cn/eng/wjbzhd/202409/t20240927_11498465.html

2. POLICY ACTIONS: *Competition and innovation, open-source models, national security*

The widespread adoption of U.S. AI open-source foundational models is tied to the type of licensing permitted for commercial use; stay abreast in monitoring any licensing changes by competitors, rather than narrowly focusing on performance benchmarks.

Coordination must put in place that enables political authorities to stay abreast on changes to competitor licenses to adjust “open-source model” competition strategies accordingly. Open-source

foundational models vary in the type of licenses that permit commercial use terms. Rather than using a subscription structure like OpenAI, the so-called open-source DeepSeek tools like DeepSeek Chat model and DeepSeek Reasoner model charge users [according to their token usage](#) with pricing tiers based on input/output capacity. The Llama pricing mechanism is [only slight different](#) for token-based consumption. Since pricing may remain similar across open-source models, the main differentiation outside of performance benchmarks are the types of licensing permits. Therefore, understanding the role of licensing in market access is important for policy making. [For example](#), the licensing terms DeepSeek currently deploys may put it at a competitive advantage in terms of model reproduction and distribution, in comparison to Llama, which includes broad usage rights and royalty-free terms, but more restrictions on distribution, commercial, and acceptable use. In conclusion, a lack of attention paid to the role of licensing types across open-source foundational models could get in the way of its market penetration and commercial competition strategies.

Widespread adoption of AI foundational model aspect of the AI-ecosystem involves on the one-hand through the ability to fine-tune for commercial use and to make customized apps or tools, and on the other-hand the general performance capabilities. It is important to track how open-source licensing can combine with other economic tools to provide addition support like compute, as well as to track if certain licensing terms result in the increased production of certain categories of commercial applications to paint a more holistic picture between the interactions of these components. Due to the inability to compete much on terms of pricing mechanisms, techno-diplomacy will become an even more important mechanisms for open-source model competition as personal relationships and interaction help build trust and differentiate model adoption choices.

Carefully categorize techno-authoritarianism and techno-authoritarian technology, to consider appropriate engagement strategies with actors based on and understanding about the underlying economic versus value-based motives.

Tech-diplomacy must incorporate a lens that differentiates a nation state's adoption of techno-authoritarian technology because of economic reasons like cost/pricing appeal versus an adoption of techno-authoritarian technology because it appeals ideological values like control and censorship. Countering techno-authoritarianism on the economic strategic side should employ a number of tools such as incentivizing the AI product development to create AI choices that can counter

oppressive technologies in terms of freedom-enhancing capabilities, pricing/cost/subsidiary options to differentiate AI offerings from competitors, and relationship building based on a local and regional understanding of technological needs. On the values side, it must first be understood that autocratic regimes vary in their degrees of severity and desire for power. Ultimately, a regime's desire for power and influence in the global arena is what makes it a systemic competitor to the U.S. In contrast, an autocratic regime that incorporates technology to uphold oppressive values like buying [facial recognition](#) that enables the government to monitor and track citizens, can be for reasons like cost offerings—or the reception of an offering in general from a company—combined with promises to “[reduce crime](#)” as a band-aid to often deeper societal problems, for example. With a more nuanced understanding, engagement can be devised on a case-by-case basis in order to tailor strategies that truly address a problem definition, since attempting value-change is not same as incentivizing a purchase of AI technology based on a competitive price or economic package.

The U.S. should be cautious about how it frames this debate, especially since major U.S. companies have commercial interests in a variety of regimes, in that such a business-technological presence in those countries does indeed help accomplish an American AI dominance objective, or at least, a balance of economic power. As such, questions about whether [providing](#) cloud servers, compute centers, or mass surveillance systems to autocratic-leaning regimes may result in tricky answers that require a complex worldview of costs and benefits. Therefore, writing-off engagement, especially economic, with autocratic regimes is not always desirable, especially when a government does not pose an immediate systemic rivalry to democracy. When it comes to the values conundrum, such as the supply of authoritarian-friendly AI technology, a more long-term perspective is required.

Processing the trade-off between market access to sell U.S. AI products, that may be used in ways that enable autocratic control over citizens, is more grey than black and white. The end goal, to diffuse AI technology that promote human flourishing rather than serve as a tool for repression, should be pursued both diplomatically and economically. In the process, choosing the type of means to that end may not always be clean-cut, but a consistent humans-in-the-loop feature is key.

The creation of a Human-Centered AI Institute (HCAII) is a way to structure research, evaluation, and monitoring about the relationship between AI and human-decision making to better understand the conditions in which AI encroachment on human autonomy could be undesirable or negative and to identify solutions that protect both innovation and human flourishing.

As an alternative to the more risk-based approach of the AI Safety Institute, the establishment of a U.S. Human Centered AI Institute (US HCAII) could structure AI research to a mission of ensuring that humans are at the center of AI technology. The goal could be identifying sector-by-sector, product type-based challenges and opportunities for the placement of human decision making throughout the AI lifecycle. Such checks and balance institution could help keep companies in line with the best practices for ensuring that humans have control about consequences for AI incorporation into society without hampering innovative capabilities. More broadly, the create of a purpose drive AI-research network on human centered AI could help achieve the policy goal of human flourishing because it helps provide a safeguard and guarantees about when limitations should be set about AI's influence over human life. More research is needed about boundaries for AI technology as a replacement or substitute to human interaction, insight, or wisdom. Even from an organizational structure perspective, clear roles must be defined about who is overseeing the incorporation and implementation of AI tools in a business for example, especially if it is transforming employee routines and/or replacing tasks. Furthermore, this type of network could be an additional vehicle for international cooperation to complement responsible AI networks, even with strategic competitors, because human flourishing is a broad and appealing objective.

Such a mission is differentiated from [current international concepts](#) like “AI for the public interest” or “AI for the public good,” which focus on identifying unifying projects climate change, or agriculture that can be enhanced through the application of AI technology, but are nonetheless ambiguous in interpretations about when individual freedom may be permitted to be overridden for such an aim, for instance. The replacement of human decision making with AI is not appropriate in all situations, sectors, job types, and tasks, and more examination is needed to identify key off-limit

scenarios/contexts/applications. Humans must always have avenues for control over the evolution of AI's technological influence on society.

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